01

TERMINOLOGY

Float

The number of shares available for public trading. Low float stocks have fewer shares available and tend to move faster and more violently on news.

02

TERMINOLOGY

Market Cap

Total market value of a company. Share price × total shares outstanding. Small cap: under $2B. Mid cap: $2B–$10B. Large cap: over $10B.

03

TERMINOLOGY

Volume

The number of shares traded during a given period. Higher volume on a move adds credibility. Low volume moves are often unsustainable.

04

TERMINOLOGY

Relative Volume (RVOL)

Current volume compared to average volume for the same time of day. RVOL of 2.0 means twice the normal volume — signals increased interest.

05

TERMINOLOGY

Bid Price

The highest price a buyer is willing to pay for a stock right now. When you sell at market, you typically get the bid.

06

TERMINOLOGY

Ask Price

The lowest price a seller is willing to accept right now. When you buy at market, you typically pay the ask.

07

TERMINOLOGY

Spread

The difference between the bid and ask price. Wide spreads cost more to trade. Thin stocks with low volume tend to have wide spreads.

08

TERMINOLOGY

Short Interest

The percentage of a stock's float that has been sold short. High short interest (over 20%) creates potential for short squeezes.

09

TERMINOLOGY

Short Squeeze

When a heavily shorted stock rises sharply, forcing short sellers to buy shares to cover — which drives the price even higher.

10

TERMINOLOGY

VWAP

Volume Weighted Average Price. The average price weighted by volume throughout the day. Used as a key intraday support and resistance level.

11

TERMINOLOGY

Level 2

A real-time display of all buy and sell orders at different price levels. Shows the depth of the market and where significant orders are stacked.

12

TERMINOLOGY

Market Order

An order to buy or sell immediately at the best available price. Fast execution but no price guarantee. Risky in thin stocks with wide spreads.

13

TERMINOLOGY

Limit Order

An order to buy or sell at a specific price or better. Gives price control but no execution guarantee. Preferred by most active traders.

14

TERMINOLOGY

Stop Loss

A predetermined price at which you exit a losing trade. Automatically limits your loss. Must be set before entering every trade.

15

TERMINOLOGY

Catalyst

The news event driving a stock's move. Earnings beats, FDA approvals, contract wins. No catalyst = no edge in momentum trading.

16

TERMINOLOGY

Pre-Market

Trading before the 9:30am ET open, typically from 4am. Lower volume, wider spreads, and more volatile price action.

17

TERMINOLOGY

Gap Up / Gap Down

When a stock opens significantly above or below the prior day's close. Created by news or earnings. Gap direction often signals the day's bias.

18

TERMINOLOGY

Pattern Day Trader (PDT)

FINRA rule requiring $25,000 minimum if you make 4+ day trades in 5 business days in a margin account.

19

TERMINOLOGY

Circuit Breaker / Halt

A temporary stop in trading when a stock moves too fast. Stocks can resume up or down from the halt price.

20

TERMINOLOGY

Margin

Borrowing money from your broker to buy more shares than your cash allows. Amplifies both gains and losses. Not recommended for beginners.

21

TERMINOLOGY

Wash Sale Rule

IRS rule that disallows a tax loss if you buy the same security within 30 days before or after selling it at a loss.

22

TERMINOLOGY

Float Rotation

When a low float stock trades its entire float multiple times in a single day. Signals extreme momentum and creates explosive moves.

23

TERMINOLOGY

After-Hours

Trading after the 4pm ET close. Same characteristics as pre-market — lower volume, less liquidity, more volatile price action.

24

TERMINOLOGY

Earnings Per Share (EPS)

Company's profit divided by total shares. A beat means actual EPS exceeded analyst estimates — often the catalyst for earnings day moves.

25

TERMINOLOGY

P/E Ratio

Price-to-earnings ratio. Stock price divided by annual EPS. Used to assess valuation. High P/E can mean growth expectations or overvaluation.

26

CHART PATTERNS

Bull Flag

Continuation pattern. Strong upward move (flagpole) then tight downward drift on low volume (flag). Entry on breakout above flag. Signals more upside.

27

CHART PATTERNS

Bear Flag

Continuation pattern. Strong downward move (flagpole) then tight upward drift on low volume (flag). Entry on breakdown below flag. Signals more downside.

28

CHART PATTERNS

Pennant

Similar to a flag but consolidation forms converging trendlines (small symmetrical triangle) after a strong move. Breakout direction matches the flagpole.

29

CHART PATTERNS

Head & Shoulders

Reversal pattern. Left shoulder, higher head, lower right shoulder along a neckline. Break below neckline signals bearish reversal.

30

CHART PATTERNS

Ascending Triangle

Flat top resistance with a series of higher lows. Buyers becoming more aggressive. Breakout above the flat top. Bullish bias.

31

CHART PATTERNS

Double Top

Two peaks at approximately the same resistance level. Break below the valley between the peaks confirms bearish reversal.

32

CHART PATTERNS

Double Bottom

Two lows at approximately the same support level. Break above the peak between the lows confirms bullish reversal.

33

CHART PATTERNS

Cup & Handle

Rounded bottom (cup) followed by a small downward drift (handle). Bullish continuation. Entry on breakout above handle resistance.

34

CHART PATTERNS

Support Level

A price area where buying has historically emerged and stopped declines. The more times price bounces from a level, the stronger the support.

35

CHART PATTERNS

Resistance Level

A price area where selling has historically emerged and stopped rallies. Broken resistance often becomes support (role reversal).

36

CHART PATTERNS

Higher High Higher Low (HHHL)

The definition of an uptrend. Each swing high is higher than the last. Each swing low is higher than the last. Trade with the trend.

37

CHART PATTERNS

Lower High Lower Low (LHLL)

The definition of a downtrend. Each swing high is lower than the last. Each swing low is lower than the last. Short with the trend.

38

CHART PATTERNS

Fake Breakout

Price breaks a key level, triggers entries, then immediately reverses. Use a small buffer above the breakout level for entry and always have a defined stop.

39

CHART PATTERNS

V-Shape Recovery

A sharp selloff immediately followed by an equally sharp recovery. Risky to buy — can look like recovery but continue lower. Confirm with volume.

40

CHART PATTERNS

Opening Range Breakout (ORB)

The high and low established in the first 5–15 minutes of trading. Break above ORB high = long signal. Break below = short signal.

41

CHART PATTERNS

Consolidation

A period where price moves sideways in a tight range after a directional move. Represents balance between buyers and sellers before the next move.

42

CHART PATTERNS

Breakout

When price moves above a resistance level (or below support) on above-average volume. The entry signal in most continuation and breakout patterns.

43

CHART PATTERNS

Descending Triangle

Flat bottom support with a series of lower highs. Sellers becoming more aggressive. Breakdown below flat bottom. Bearish bias.

44

CHART PATTERNS

Symmetrical Triangle

Converging trendlines with equal slope up and down. Compression before a breakout. Direction not predetermined — wait for the break.

45

CANDLESTICKS

Bullish Engulfing

A large green candle that completely covers the prior red candle's body. Strong reversal signal at support. More significant on higher timeframes.

46

CANDLESTICKS

Bearish Engulfing

A large red candle that completely covers the prior green candle's body. Strong reversal signal at resistance. Watch for high volume to confirm.

47

CANDLESTICKS

Hammer

Small body at the top, long lower wick (at least 2x the body). Appears after a downtrend at support. Buyers rejected the lows aggressively.

48

CANDLESTICKS

Shooting Star

Small body at the bottom, long upper wick. Appears after an uptrend at resistance. Sellers rejected the highs aggressively. Bearish reversal.

49

CANDLESTICKS

Doji

Open and close are nearly equal. Represents indecision. Long wicks on both sides mean both sides fought and neither won. Often precedes a reversal.

50

CANDLESTICKS

Marubozu

A candle with no wicks — opens at one extreme and closes at the other. Represents maximum conviction in one direction. Strong momentum signal.

51

CANDLESTICKS

Morning Star

3-candle bullish reversal: large red candle, small indecision candle, large green candle. Strong reversal at support on daily chart.

52

CANDLESTICKS

Spinning Top

Small body with roughly equal wicks on both sides. Indecision — neither bulls nor bears took control. Often appears during consolidation.

53

CANDLESTICKS

Three White Soldiers

Three consecutive large green candles. Each opens within the prior body and closes at a new high. Strong bullish momentum signal.

54

CANDLESTICKS

Three Black Crows

Three consecutive large red candles. Each opens within the prior body and closes at a new low. Strong bearish momentum signal.

55

CANDLESTICKS

Harami (Inside Bar)

A small candle contained entirely within the prior candle's body. Represents compression and indecision. Often precedes a directional move.

56

CANDLESTICKS

Kill Candle

A large red candle that reverses a significant portion of the prior move on high volume. Signals that sellers have taken control of the momentum.

57

CANDLESTICKS

Wick Rejection

When a candle's wick tests a level but the body closes away from it. Long wicks at support = buyers stepping in aggressively.

58

CANDLESTICKS

Green to Red Reversal

A stock that opens above the prior close (green) but reverses and closes below it (red). Bearish signal especially on high volume.

59

CANDLESTICKS

Evening Star

3-candle bearish reversal: large green candle, small indecision candle, large red candle. Strong reversal at resistance on daily chart.

60

RISK MANAGEMENT

The 1% Rule

Never risk more than 1% of your total account on a single trade. On a $10,000 account that is $100 max risk. Survives losing streaks without account damage.

61

RISK MANAGEMENT

Position Sizing

Calculating the exact number of shares to buy based on your dollar risk and stop distance. Formula: Shares = Dollar Risk ÷ (Entry − Stop).

62

RISK MANAGEMENT

Risk-to-Reward (R:R)

The ratio of potential profit to potential loss. 3:1 means risking $100 to make $300. Never trade below 2:1. Higher is better.

63

RISK MANAGEMENT

Daily Loss Limit

The maximum amount you allow yourself to lose in a single session. When hit, you stop trading for the day. Non-negotiable rule.

64

RISK MANAGEMENT

Trailing Stop

A stop that moves with price as a trade goes in your favor. Locks in profits while allowing the trade room to run.

65

RISK MANAGEMENT

Scaling In

Entering a position in multiple smaller pieces rather than all at once. Reduces risk if the first entry is wrong. Add to winners, not losers.

66

RISK MANAGEMENT

Scaling Out

Taking partial profits as a trade moves in your favor. Reduces risk by locking in gains while leaving some shares to capture the full move.

67

RISK MANAGEMENT

Breakeven Stop

Moving your stop loss to your entry price once a trade is profitable. Eliminates the possibility of a winner becoming a loser.

68

RISK MANAGEMENT

Max Drawdown

The largest peak-to-trough decline in account value. Key measure of risk. Professionals typically limit max drawdown to 10–20%.

69

RISK MANAGEMENT

Correlation Risk

Multiple positions moving together because they are in the same sector. Long 5 tech stocks is like having one big tech position.

70

RISK MANAGEMENT

Overtrading

Taking more trades than your edge supports — often from boredom. Destroys accounts slowly through commissions and bad setups.

71

RISK MANAGEMENT

Revenge Trading

Taking impulsive trades after a loss to make it back. Leads to larger losses. The antidote is a hard daily loss limit and stepping away.

72

RISK MANAGEMENT

Paper Trading

Simulated trading with fake money in real market conditions. Use to practice setups and learn your platform before risking real capital.

73

RISK MANAGEMENT

Win Rate

The percentage of trades that are profitable. 50-60% is good. A 40% win rate with 3:1 R:R is still profitable. Win rate alone means nothing without R:R context.

74

RISK MANAGEMENT

Kelly Criterion

Mathematical formula for optimal position sizing based on win rate and R:R. Practical version: never bet more than half the Kelly amount.

75

MARKET STRUCTURE

Trendline

A diagonal line connecting at least two price points. Used to visualize trend direction and identify breakout points.

76

MARKET STRUCTURE

Moving Average (MA)

The average price over a set number of periods. Smooths out noise. Common: 20MA (short-term), 50MA (medium), 200MA (long-term trend).

77

MARKET STRUCTURE

EMA vs SMA

Exponential MA gives more weight to recent prices and reacts faster. Simple MA treats all prices equally. Day traders prefer EMAs.

78

MARKET STRUCTURE

Golden Cross

When the 50-day MA crosses above the 200-day MA. Long-term bullish signal. Often seen as institutional buying confirmation.

79

MARKET STRUCTURE

Death Cross

When the 50-day MA crosses below the 200-day MA. Long-term bearish signal. Often precedes continued weakness.

80

MARKET STRUCTURE

Sector Rotation

Money moving from one market sector to another as economic conditions change. When tech sells off and energy rallies — that is rotation.

81

MARKET STRUCTURE

Market Breadth

Measures how many stocks are participating in a move. Strong breadth = healthy bull market. Narrow breadth = weakening rally.

82

MARKET STRUCTURE

Liquidity

How easily you can buy or sell without affecting price. High liquidity = tight spreads, fast fills. Low liquidity = wide spreads, slippage.

83

MARKET STRUCTURE

Institutional Buying

Large purchases by funds, banks, or hedge funds. Identified by above-average volume on up days. Stocks cannot sustain moves without institutional participation.

84

MARKET STRUCTURE

Power Hour

The last hour of trading (3–4pm ET) which often sees increased volume and decisive moves as institutions adjust positions.

PSYCHOLOGY 85

FOMO

Fear Of Missing Out. The urge to chase a move that has already happened. Leads to buying at highs and poor R:R. Best setups have clear entries — if you missed it, wait.

PSYCHOLOGY 86

Loss Aversion

The psychological tendency to feel losses more intensely than equivalent gains. Causes traders to hold losers too long and cut winners too early.

PSYCHOLOGY 87

Confirmation Bias

Seeking information that confirms what you already believe about a trade while ignoring contradicting evidence. Leads to ignoring warning signs.

PSYCHOLOGY 88

Recency Bias

Overweighting recent events. After a win streak traders feel invincible. After a loss streak they become paralyzed. Both are dangerous.

PSYCHOLOGY 89

Anchoring

Fixating on a specific price like your entry and making decisions relative to it. The market does not know your entry. Only current price matters.

PSYCHOLOGY 90

Sunk Cost Fallacy

Holding a losing trade because of money already lost. The money is already gone. Your only question: what is the best decision right now?

PSYCHOLOGY 91

Overconfidence

Overestimating your edge after a winning streak. Leads to oversizing, taking lower-quality setups, and giving back gains quickly.

PSYCHOLOGY 92

Process vs Outcome

Judging a trade on the quality of your decision-making, not the result. A well-executed trade that loses is still good trading.

PSYCHOLOGY 93

Trading Journal

A record of every trade including setup, entry, exit, P&L, and reflection. The only way to identify patterns in your behavior and improve systematically.

PSYCHOLOGY 94

State Management

Being aware of and controlling your emotional state before and during trading. Tired, angry, or excited traders make worse decisions.

OPTIONS 95

Call Option

The right (not obligation) to buy 100 shares at the strike price before expiration. Profits when the stock rises. Bought when you are bullish.

OPTIONS 96

Put Option

The right (not obligation) to sell 100 shares at the strike price before expiration. Profits when the stock falls. Bought when you are bearish.

97

OPTIONS

Strike Price

The predetermined price at which the option can be exercised. An option is in the money when the stock is past the strike in your profitable direction.

98

OPTIONS

Expiration Date

The date on which the option contract expires. Options lose value as expiration approaches (time decay). Weekly options expire every Friday.

99

OPTIONS

Implied Volatility (IV)

The market's expectation of future price movement embedded in the option's price. High IV = expensive options. IV often spikes into earnings then crushes after.

100

OPTIONS

IV Crush

The sharp drop in implied volatility that occurs immediately after a major event like earnings. Even if the stock moves in your direction, your option can lose value because the volatility premium you paid collapses. One of the most common and costly mistakes for options buyers.